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Course name – Understanding Business

# Session 1

## Introduction to Business and its Role in Society

#ItAllAddsUp

# Syllabus

- Analyse the features, objectives and internal structures of large organisations
- Introduction to Business and its Role in Society
- What is “business activity”?
- Adding value, satisfying needs, and wealth creation
- Sectors of industry (primary, secondary, tertiary, quaternary)
- Sectors of economy (private, public, third)
- Conclusion to Business and its Role in Society

# Analyse the features, objectives and internal structures of large organisations

- When we talk about **large organisations**, we're referring to businesses or institutions that have **complex structures**, **many employees**, **large-scale operations**, and often **global reach**. Examples include **Tata Group**, **Amazon**, **NHS Scotland**, and **Oxfam**.
- We'll look at three angles:
- **Features**
- **Objectives**
- **Internal structure**
- **1. Features of Large Organisations**
- Large organisations share certain defining traits:
- **Scale and resources:**
  They employ thousands of people, operate across multiple regions or countries, and have significant financial, technological, and human resources.
  *Example:* Tata Group has over 900,000 employees and operates in 100+ countries.

# Analyse the features, objectives and internal structures of large organisations

- **Formal structure and hierarchy:**
  Clear lines of authority, defined job roles, and formal procedures help maintain control and coordination.
  *Example:* NHS Scotland uses a hierarchical structure with boards overseeing hospitals, clinics, and regional services.
- **Specialisation and division of labour:**
  Employees focus on specific tasks—marketing, finance, R&D, production—leading to efficiency and expertise.
- **Regulation and compliance:**
  They must follow laws related to labour, taxation, environment, and corporate governance.
  *Example:* Oxfam must comply with charity laws and international aid regulations.
- **Access to capital:**
  They can raise funds through stock markets, government grants, or large-scale fundraising.
- **2. Objectives of Large Organisations**
- Objectives differ based on sector, but all aim to **add value** and **create impact**.

# Analyse the features, objectives and internal structures of large organisations

- **Private sector (Tata Group):**
  - Profit maximisation and shareholder value
  - Growth, innovation, and brand reputation
  - Sustainable development (e.g., Tata Steel's green manufacturing)
- **Public sector (NHS Scotland):**
  - Deliver free, high-quality healthcare
  - Ensure equitable access for all citizens
  - Efficient use of taxpayer money
- **Third sector (Oxfam):**
  - Reduce global poverty and inequality
  - Provide humanitarian aid during crises
  - Advocate for social justice and fair trade
- So, while Tata aims for **economic value**, NHS Scotland focuses on **public welfare**, and Oxfam creates **social value**.

# Analyse the features, objectives and internal structures of large organisations

- **3. Internal Structure of Large Organisations**
- The **internal structure** defines *how* work is organised, *who* makes decisions, and *how* information flows. Common structures include:
- **Hierarchical (Traditional Pyramid):**
  Clear chain of command, suited for stability and control.
  *Example:* NHS Scotland—government oversight, health boards, hospitals, doctors, nurses.
- **Functional Structure:**
  Departments divided by business functions (marketing, HR, finance, etc.).
  *Example:* Tata Motors—each function handles its own operations under a managing director.
- **Divisional Structure:**
  Separate divisions for products, markets, or regions.
  *Example:* Tata Group has divisions like Tata Steel, Tata Consultancy Services, Tata Motors, etc.—each operates semi-independently.

# Analyse the features, objectives and internal structures of large organisations

- **Matrix Structure:**
  Combines functional and project-based management.
  *Example:* Oxfam—teams often combine people from fundraising, logistics, and communications to deliver specific aid projects.
- **Networked/Flat Structure (modern trend):**
  Encourages collaboration and faster decision-making; used in innovative environments.
  *Example:* Google or modern tech start-ups—cross-functional teams with less hierarchy.

# Analyse the features, objectives and internal structures of large organisations

- In summary

| Aspect | Tata Group (Private) | NHS Scotland (Public) | Oxfam (Third Sector) |
|---|---|---|---|
| **Features** | Global, multi-division, profit-driven | National service, publicly funded | International charity, donation-funded |
| **Objectives** | Growth, profit, innovation | Universal healthcare, efficiency | Poverty reduction, equality |
| **Internal Structure** | Divisional (by industry) | Hierarchical (by service region) | Matrix (by projects/programs) |

- Large organisations thrive when they balance **clear structures** with **flexibility**, **resources** with **purpose**, and **efficiency** with **social responsibility**.

# Introduction to Business and its Role in Society

- **Introduction to Business and Its Role in Society**
- A **business** is an organization that produces goods or provides services to satisfy human needs and wants. But business isn't just about making money — it's one of the main engines that keeps society running. It creates jobs, drives innovation, improves living standards, and supports communities.
- **1. What Is a Business?**
- At its core, business involves **three key activities**:
- **Producing goods or services** – turning ideas or raw materials into something useful.
- **Adding value** – making products or services worth more than their raw inputs.
- **Earning profit** – the reward for taking risks and organizing resources effectively.
- *Example:*
  Tata Motors manufactures vehicles that help people travel efficiently. It adds value by designing safe, reliable, and affordable cars, generating profit while meeting customer needs.

# Introduction to Business and its Role in Society

- **2. Why Business Exists in Society**
- Businesses exist to meet society's **economic and social needs**. Their role goes far beyond selling things — they are part of a much bigger system that shapes the way we live and work.
- **a. Satisfying needs and wants**
  Businesses provide food, clothing, housing, healthcare, entertainment — everything that makes modern life possible.
  *Example:* The NHS (though not-for-profit) operates like a large organization providing the essential service of healthcare, satisfying one of society's most critical needs.*
- **b. Creating employment**
  Businesses are the biggest employers in most economies. Jobs provide income, skill development, and social stability.
  *Example:* Tata Group employs hundreds of thousands across sectors — from steel to IT — supporting millions of families.*

# Introduction to Business and its Role in Society

- **c. Generating wealth and contributing to the economy**
  Through profits, taxes, and wages, businesses circulate money in the economy.
  *Example:* Infosys's export earnings contribute significantly to India's GDP and foreign exchange reserves.*
- **d. Encouraging innovation and technological progress**
  Competition drives businesses to improve products, cut costs, and develop new technologies.
  *Example:* Tesla's electric cars pushed the entire auto industry toward cleaner energy.*
- **e. Social and ethical responsibility**
  Modern businesses are expected to operate sustainably and ethically — caring for the environment and communities.
  *Example:* Oxfam works to reduce poverty, while Tata Trusts fund education and health programs.*
- **3. Different Types of Business Activity**
- Society depends on a mix of sectors:
- **Private sector:** Profit-oriented companies (e.g., Tata Group, Reliance Industries)
- **Public sector:** Government organizations providing essential services (e.g., NHS Scotland)

# Introduction to Business and its Role in Society

- **Third sector:** Charities and NGOs aiming for social welfare (e.g., Oxfam, Red Cross)
- Each plays a distinct role but contributes to the same goal — improving quality of life.
- **4. The Big Picture**
- Without business, society would struggle to function. Roads wouldn't be built, hospitals wouldn't be supplied, and technology wouldn't advance. But equally, without society — customers, workers, and communities — businesses would have no reason to exist.
- The relationship is **interdependent**:
- Society provides the market, labor, and resources.
- Business provides products, jobs, and innovation.
- **In summary**
- Business is not just an economic mechanism — it's a **social institution** that shapes culture, employment, innovation, and progress.
  A successful society needs healthy businesses, and responsible businesses depend on a healthy society.

# What is “business activity”?

- **Business activity** means any action a person or organization takes to produce goods or provide services in order to meet human needs and wants. It’s how businesses create value — by turning resources (like raw materials, time, and skills) into something more useful or desirable.
- In simple terms, business activity is **“what a business does”** to make products, satisfy customers, and earn money.
- **Key Points**
- **Purpose:** To satisfy needs and wants by providing goods or services.
- **Value creation:** Every step should add value — making a product more useful or appealing.
- **Outcome:** Generates income, profit, and economic growth.
- **Examples of Business Activities**
- **1. Primary Sector – Extracting Natural Resources**
- These involve collecting raw materials from nature.

# What is “business activity”?

- *Example:* A farmer growing wheat, or Coal India Ltd mining coal.
  They provide the foundation for all other industries.
- **2. Secondary Sector – Manufacturing or Processing**
- These involve transforming raw materials into finished goods.
- *Example:* Tata Steel turning iron ore into steel; Maruti Suzuki assembling cars.
  Here, value is added through production and design.
- **3. Tertiary Sector – Providing Services**
- These businesses don’t make physical goods but offer services.
- *Example:* HDFC Bank providing financial services; Infosys offering IT consulting.
  They support both individuals and other businesses.
- **4. Quaternary Sector – Knowledge and Innovation**
- This includes information-based and research-oriented activities.
- *Example:* Google or Biocon investing in R&D to develop new technologies or medicines.

# What is “business activity”?

- **In Short**
- Business activity is the *engine* of the economy — it creates jobs, wealth, and innovation.
  Whether it’s a farmer growing crops, a factory building cars, or a tech firm designing AI systems, they’re all engaging in business activity to **add value** and **meet society’s needs**.
- **<u>Case studies</u>**
- **Case Study 1: Tata Motors – Secondary Sector (Manufacturing)**
- **Business Activity:**
  Tata Motors designs and manufactures vehicles — from affordable passenger cars to heavy commercial trucks.
- **How it adds value:**
- Converts raw materials like steel, rubber, and glass into complex, reliable vehicles.
- Employs thousands of engineers and factory workers, providing income and skill development.
- Drives innovation through research on electric and hydrogen-powered vehicles.

# What is “business activity”?

- **Impact on society:**
- Creates jobs across its supply chain.
- Makes transport more accessible in India and abroad.
- Contributes significantly to GDP and exports.
- **Example of business activity:**
  Designing, producing, and marketing the *Tata Nexon EV* — transforming raw materials into an eco-friendly car that meets consumer demand for affordable electric vehicles.
- **Case Study 2: NHS Scotland – Tertiary Sector (Service Industry)**
- **Business Activity:**
  NHS Scotland provides free healthcare services to people in Scotland — hospitals, clinics, and emergency care.
- **How it adds value:**
- Uses public funds (tax money) to deliver medical services to citizens.

# What is “business activity”?

- Employs doctors, nurses, and administrative staff who ensure efficient care delivery.
- Focuses on improving public health and life expectancy.
- **Impact on society:**
- Enhances quality of life by making healthcare accessible to everyone.
- Prevents diseases through vaccination and health awareness programs.
- Reduces inequalities by ensuring care isn’t limited to those who can pay.
- **Example of business activity:**
  Running a vaccination campaign — organizing medical staff, equipment, and logistics to deliver millions of COVID-19 vaccines efficiently.

# What is “business activity”?

- **Case Study 3: Oxfam – Third Sector (Non-Profit and Social Enterprise)**
- **Business Activity:**
  Oxfam is a global charity that works to fight poverty and social injustice.
- **How it adds value:**
- Uses donations and volunteers to deliver food, education, and disaster relief.
- Operates charity shops to raise funds from selling donated goods.
- Conducts research and advocacy to influence global economic fairness.
- **Impact on society:**
- Supports communities during humanitarian crises.
- Promotes equality and sustainable development.
- Builds long-term programs in education, women’s empowerment, and clean water.

# What is “business activity”?

- **Example of business activity:**
  Setting up emergency food distribution during floods in Bangladesh — sourcing food, organizing logistics, and coordinating volunteers to help affected families.
- Summary

| Case | Sector | Type of Business Activity | Value Created |
|---|---|---|---|
| **Tata Motors** | Secondary | Manufacturing goods | Economic growth, jobs, innovation |
| **NHS Scotland** | Tertiary | Providing healthcare services | Public welfare, health improvement |
| **Oxfam** | Third | Humanitarian and social services | Poverty reduction, social equality |

- Together, these show how **business activity** can take different forms — profit-making, public service, or charitable work — but all contribute to society by **adding value, meeting needs, and creating impact**.

# Adding value, satisfying needs, and wealth creation

- **1. Adding Value**
- **Meaning:**
  Adding value means making a product or service *more useful, desirable, or appealing* than the raw materials or inputs used to create it.
  It's the difference between what something *costs to make* and what a customer is *willing to pay* for it.
- **Example:**
- A tailor buys fabric for ₹500 and stitches it into a custom shirt that sells for ₹1,000.
- The fabric alone wasn't as useful.
- The tailor's design, skill, and finishing *added value* worth ₹500.
- **Business Example:**
  Apple adds value by combining basic electronic components with sleek design, intuitive software, and brand reputation — allowing them to charge a premium price for an iPhone.
- **In short:** Adding value = raw input → something customers prefer and pay more for.

# Adding value, satisfying needs, and wealth creation

- **2. Satisfying Needs**
- **Meaning:**
- Businesses exist to *meet human needs and wants*. Needs are essentials (food, housing, healthcare), while wants are additional desires (entertainment, luxury, convenience).
- **Example:**
- A grocery store satisfies the basic need for food.
  Netflix satisfies the *want* for entertainment and relaxation.
- **Business Example:**
- NHS Scotland satisfies society's need for healthcare by providing medical treatment and emergency care.
  Tata Motors satisfies the need for transportation by manufacturing affordable cars and buses.
- **In short:** Satisfying needs = identifying what people require or desire and providing it efficiently.

# Adding value, satisfying needs, and wealth creation

- **3. Wealth Creation**
- **Meaning:**
  Wealth creation happens when businesses generate income, profits, and jobs that improve living standards — not just for owners, but for employees, suppliers, and society.
- **Example:**
- A small bakery employs five people, pays wages, and earns profits.
- The workers spend their earnings elsewhere, circulating money in the economy.
- This creates *economic growth and prosperity* — that's wealth creation.
- **Business Example:**
  Infosys creates wealth by exporting IT services worldwide, earning foreign currency, paying taxes, and hiring thousands of engineers — all contributing to India's economic development.
- **In short:** Wealth creation = producing goods/services that generate income, employment, and progress.

# Adding value, satisfying needs, and wealth creation

- **How They Connect**
- All three are part of one continuous chain:
- **Adding Value** makes a product or service more desirable.
- **Satisfying Needs** ensures customers buy it.
- **Wealth Creation** happens when that exchange benefits everyone — the business, employees, and society.
- **Example linking all three:**
- Tata Tea buys raw tea leaves (adds value through processing, packaging, and branding), sells it to consumers who need daily beverages (satisfies needs), and in doing so earns profits, pays farmers, and provides jobs (creates wealth).
- In essence, these three pillars describe *why business exists*:
  to transform resources into useful things, meet human demands, and help society grow economically and socially.

# Adding value, satisfying needs, and wealth creation

- **<u>CASE STUDIES :</u>**
- **Case Study 1: Tata Steel (Manufacturing / Secondary Sector)**
- **Adding Value:**
  Tata Steel takes *iron ore, coal, and limestone* — raw materials with limited direct use — and converts them into *high-grade steel* used in cars, buildings, and infrastructure.
  Through advanced technology, quality control, and branding, Tata Steel increases the value of these raw inputs many times over.
- **Satisfying Needs:**
  Society needs strong and reliable materials for housing, transportation, and industry. Tata Steel meets this need by producing steel for everything from railways to skyscrapers.
- **Wealth Creation:**
- Provides direct employment to over 70,000 people.
- Pays taxes and exports steel, earning foreign currency.

# Adding value, satisfying needs, and wealth creation

- Supports local communities through CSR programs like education and health care in Jamshedpur.
- **Result:**
  Value added through processing, needs met through infrastructure development, and wealth created through jobs and economic growth.
- **Case Study 2: Amul (Dairy Cooperative / Primary and Secondary Sector)**
- **Adding Value:**
  Amul collects raw milk from millions of rural farmers and processes it into butter, cheese, ice cream, and packaged milk.
  Processing, packaging, and branding turn low-value raw milk into high-value dairy products.
- **Satisfying Needs:**
  Amul meets India's growing demand for safe, nutritious, and affordable dairy products.
  By ensuring consistent quality and availability, it satisfies both rural and urban consumers.
- **Wealth Creation:**

# Adding value, satisfying needs, and wealth creation

- Empowers over 3.6 million small farmers by giving them steady income.
- Generates profits that are distributed back to farmers (since it’s a cooperative).
- Creates rural employment and strengthens India’s dairy economy.
- **Result:**
- Amul adds value to milk, satisfies nutritional needs, and redistributes wealth to millions of families — an excellent model of inclusive growth.
- **Case Study 3: Oxfam (Third Sector / Non-Profit)**
- **Adding Value:**
  Oxfam transforms financial donations and volunteer work into organized humanitarian aid — food, education, clean water, and advocacy for fair trade.
  The value added lies in coordination, logistics, and the ability to turn resources into real social impact.
- **Satisfying Needs:**
  Addresses human needs like hunger, disaster relief, and poverty reduction, especially in vulnerable regions.

# Adding value, satisfying needs, and wealth creation

- **Wealth Creation:**
  While not profit-driven, Oxfam *creates social wealth*:
- Improves living standards through education and healthcare projects.
- Empowers women and small farmers through fair trade programs.
- Reduces inequality by supporting local communities to become self-sustaining.
- **Result:**
  Value added through organization and expertise, needs met through aid and advocacy, and social wealth created through empowerment and education.

# Adding value, satisfying needs, and wealth creation

- Summary Table

| Case | Sector | Adding Value | Satisfying Needs | Wealth Creation |
|---|---|---|---|---|
| **Tata Steel** | Secondary | Converts raw materials into steel | Provides materials for infrastructure | Economic growth, jobs, exports |
| **Amul** | Primary/Secondary | Processes raw milk into branded products | Provides affordable dairy | Rural income, cooperative wealth |
| **Oxfam** | Third | Turns donations into aid programs | Addresses social and humanitarian needs | Social wealth, empowerment |

- These three show that **adding value, satisfying needs, and creating wealth** are universal goals — but the *form of wealth* can be economic (like Tata Steel), shared and inclusive (like Amul), or social and ethical (like Oxfam).

# Sectors of industry (primary, secondary, tertiary, quaternary)

- Let’s keep this straightforward and vivid — the **sectors of industry** describe how the economy is divided according to what kind of activity a business performs. Think of them as the *four stages of value creation*, from raw materials to high-end knowledge work.
- **1. Primary Sector – Extracting Natural Resources**
- **What it does:**
  The primary sector involves extracting or harvesting raw materials directly from nature. It’s the foundation of all other industries because it provides the basic inputs for production.
- **Examples:**
- **Agriculture:** Farmers growing crops like rice or wheat.
- **Mining:** Coal India Ltd extracting coal.
- **Fishing:** Marine fisheries supplying seafood.
- **Forestry:** Timber production and logging.

# Sectors of industry (primary, secondary, tertiary, quaternary)

- **Example Business:**
  *Oil and Natural Gas Corporation (ONGC)* — explores and drills for oil and natural gas, supplying raw fuel for refineries and industries.
- **Value created:**
  Turns natural resources into usable materials.
- **2. Secondary Sector – Manufacturing and Processing**
- **What it does:**
  This sector takes raw materials from the primary sector and transforms them into finished or semi-finished goods through industrial processes.
- **Examples:**
- **Manufacturing:** Tata Steel producing steel from iron ore.
- **Automobile industry:** Maruti Suzuki assembling cars.
- **Food processing:** Nestlé converting milk into chocolate and baby food.

# Sectors of industry (primary, secondary, tertiary, quaternary)

- **Textiles:** Raymond turning cotton into shirts and suits.
- **Example Business:**
  *Tata Motors* — uses metals, plastics, and electronics to build vehicles for transport and logistics.
- **Value created:**
  Adds value through design, production, and technology.
- **3. Tertiary Sector – Providing Services**
- **What it does:**
  This sector doesn't produce tangible goods but provides services that support both individuals and other businesses. It forms the backbone of modern economies.
- **Examples:**
- **Retail:** Reliance Retail, Big Bazaar.
- **Banking and finance:** HDFC Bank, SBI.
- **Healthcare:** Apollo Hospitals, NHS Scotland.

# Sectors of industry (primary, secondary, tertiary, quaternary)

- **Transport:** Indigo Airlines, Uber.
- **Education:** Byju’s, universities.
- **Example Business:**
  *Infosys* — provides IT consulting and software services to global clients.
- **Value created:**
  Improves quality of life and efficiency for other sectors.
- **4. Quaternary Sector – Knowledge, Research, and Innovation**
- **What it does:**
  This is the most advanced layer of economic activity — it’s about *thinking work* rather than *making work*. It involves generating new ideas, technology, and knowledge.
- **Examples:**
- **Research & Development (R&D):** Pharmaceutical labs developing new drugs.

# Sectors of industry (primary, secondary, tertiary, quaternary)

- **Information Technology:** Google or Microsoft developing software and AI.
- **Consultancy:** McKinsey offering strategic advice.
- **Education and innovation hubs:** Universities conducting scientific research.
- **Example Business:**
  *ISRO (Indian Space Research Organisation)* — conducts research and innovation in space technology and satellite systems.
- **Value created:**
  Drives innovation, efficiency, and long-term economic growth.

# Sectors of industry (primary, secondary, tertiary, quaternary)

- Summary Table

| Sector | Main Activity | Example Businesses | Type of Value Created |
|---|---|---|---|
| **Primary** | Extraction of raw materials | ONGC, Coal India, farmers | Basic resources |
| **Secondary** | Manufacturing and construction | Tata Steel, Maruti Suzuki | Industrial goods |
| **Tertiary** | Providing services | HDFC Bank, Infosys, NHS Scotland | Convenience, efficiency |
| **Quaternary** | Research and innovation | ISRO, Google, Biocon | Knowledge and technology |

# Sectors of industry (primary, secondary, tertiary, quaternary)

- In essence:
- The **primary sector** digs and grows.
- The **secondary sector** builds and manufactures.
- The **tertiary sector** serves and supports.
- The **quaternary sector** thinks and innovates.
- Together, they form a complete economic system — from raw resources to advanced ideas — that keeps society functioning and evolving.

# Sectors of industry (primary, secondary, tertiary, quaternary)

- **<u>CASE STUDIES :</u>**
- **Case Study 1: Amul – Primary & Secondary Sector**
- **Sector focus:** Primary (agriculture) + Secondary (food processing)
- **Background:**
  Amul started in Gujarat as a dairy cooperative in 1946 to empower rural farmers. Today, it's one of India's largest food brands.
- **Business Activity:**
- **Primary sector:** Millions of small farmers supply raw milk daily.
- **Secondary sector:** Amul's factories process that milk into butter, cheese, ice cream, and other dairy products.
- **How it adds value:**
  Raw milk has limited shelf life and value. Processing, packaging, and branding multiply its worth while ensuring quality and hygiene.

# Sectors of industry (primary, secondary, tertiary, quaternary)

- **Impact:**
- Provides steady income to over 3.6 million farmers.
- Supplies affordable, nutritious products nationwide.
- Strengthens India’s rural economy.
- **Why it fits:**
  Amul bridges the *primary* and *secondary* sectors — turning raw agricultural output into consumer-ready products through manufacturing.
- **Case Study 2: Indigo Airlines – Tertiary Sector**
- **Sector focus:** Tertiary (services)
- **Background:**
  Indigo is India’s largest airline, founded in 2006. It operates domestic and international flights, focusing on efficiency and low-cost travel.

# Sectors of industry (primary, secondary, tertiary, quaternary)

- **Business Activity:**
  Indigo doesn’t produce physical goods. Its main output is **transport service** — helping passengers and cargo move quickly and safely.
- **How it adds value:**
- Provides affordable and time-saving travel options.
- Supports tourism and business travel, connecting cities and economies.
- Uses technology for quick bookings, digital boarding passes, and efficient operations.
- **Impact:**
- Employs over 25,000 people.
- Boosts hospitality and logistics industries.
- Improves national connectivity and mobility.

# Sectors of industry (primary, secondary, tertiary, quaternary)

- **Why it fits:**
  Indigo represents the **tertiary sector** — focused on service delivery, customer satisfaction, and operational efficiency rather than tangible goods.
- **Case Study 3: Biocon – Quaternary Sector**
- **Sector focus:** Quaternary (research and innovation)
- **Background:**
  Biocon is one of India's leading biotechnology companies, specializing in pharmaceuticals, biosimilars, and research.
- **Business Activity:**
- Conducts **scientific research** to develop new drugs and treatments.
- Uses advanced **biotechnology** to innovate in healthcare.
- Collaborates with global research institutions for R&D.

# Sectors of industry (primary, secondary, tertiary, quaternary)

- **How it adds value:**
  Transforms scientific knowledge into medicines that improve human health.
  For example, Biocon developed affordable insulin for diabetic patients worldwide.
- **Impact:**
- Contributes to healthcare innovation and medical access.
- Generates high-skilled employment for scientists and researchers.
- Strengthens India’s reputation in global biotech research.
- **Why it fits:**
  Biocon belongs to the **quaternary sector** — it relies on knowledge, data, and innovation rather than physical production.

# Sectors of industry (primary, secondary, tertiary, quaternary)

- Summary Table

| Case Study | Sector | Core Activity | Example of Value Added |
|---|---|---|---|
| **Amul** | Primary + Secondary | Collecting and processing milk | Converts raw milk into branded dairy products |
| **Indigo Airlines** | Tertiary | Air transport service | Provides connectivity, convenience, and employment |
| **Biocon** | Quaternary | Research and biotechnology | Develops life-saving drugs and new technology |

- Together, these show how the **four sectors of industry** form a chain:
- The **primary** sector provides raw materials.
- The **secondary** sector transforms them into goods.
- The **tertiary** sector delivers services that move, sell, or use those goods.
- The **quaternary** sector advances knowledge that improves all three.

# Sectors of economy (private, public, third)

- Let’s break this down clearly and simply — the **sectors of the economy** are grouped by **who owns and controls the organization** and **why it operates** (profit or social purpose).
- There are **three main sectors**: **Private**, **Public**, and **Third**.
- **1. Private Sector**
- **What it is:**
  The private sector includes businesses owned by **individuals, families, or shareholders** — not the government.
  Their main goal is usually to **make profit** by producing goods or providing services efficiently.
- **Key features:**
- Owned and managed privately.
- Funded by owners’ investment or bank loans.
- Driven by profit and competition.

# Sectors of economy (private, public, third)

- Operates in almost every industry — from retail to IT to manufacturing.
- **Examples:**
- **Tata Group:** A private conglomerate with businesses in steel, automobiles, IT, and hotels.
- **Infosys:** Provides IT services globally.
- **Reliance Industries:** Operates in energy, telecom, and retail.
- **Contribution to society:**
- Creates jobs and wealth.
- Drives innovation through competition.
- Pays taxes that fund public services.
- **In short:**
  The private sector keeps the economy dynamic and competitive by producing, selling, and investing for profit.

# Sectors of economy (private, public, third)

- **2. Public Sector**
- **What it is:**
  The public sector consists of **organizations owned and operated by the government**, either at the national or regional level.
  Its main aim isn't profit — it's to **provide essential services** to the public that might not be profitable for private companies.
- **Key features:**
- Funded through taxation.
- Aims for public welfare, not profit.
- Accountable to government and citizens.
- **Examples:**
- **NHS Scotland:** Provides free healthcare to all Scottish citizens.
- **Indian Railways:** Runs the national rail network, connecting millions daily.

# Sectors of economy (private, public, third)

- **Bharat Sanchar Nigam Limited (BSNL):** Government-owned telecom provider.
- **Contribution to society:**
- Ensures access to vital services (healthcare, education, transport).
- Reduces inequality by serving everyone, not just those who can pay.
- Provides stability during economic downturns.
- **In short:**
  The public sector focuses on **social benefit and inclusivity**, not financial gain.
- **3. Third Sector**
- **What it is:**
  Also called the **voluntary** or **non-profit sector**, the third sector includes **charities, NGOs, and social enterprises** that aim to **help people or promote causes**, not to make profit.

# Sectors of economy (private, public, third)

- **Key features:**
- Run by trustees, volunteers, or community groups.
- Funded by donations, grants, or charity sales.
- Focused on solving social, environmental, or humanitarian problems.
- **Examples:**
- **Oxfam:** Works globally to fight poverty and inequality.
- **CRY (Child Rights and You):** Protects children’s rights in India.
- **Red Cross:** Provides disaster relief and medical assistance.
- **Contribution to society:**
- Supports vulnerable communities.
- Fills service gaps not covered by government or private firms.

# Sectors of economy (private, public, third)

- Raises awareness of social and environmental issues.
- **In short:**
  The third sector exists to **serve society and humanity**, not to generate financial profit.
- Summary Table

| Sector | Ownership | Main Objective | Funding Source | Example | Value Created |
|---|---|---|---|---|---|
| **Private** | Individuals / Companies | Profit and growth | Sales, investment | Tata Group, Infosys | Economic wealth, jobs |
| **Public** | Government | Public welfare | Taxes | NHS Scotland, Indian Railways | Access to essential services |
| **Third** | Charities / NGOs | Social good | Donations, grants | Oxfam, Red Cross | Social and humanitarian value |

# Sectors of economy (private, public, third)

- In essence:
- The **private sector** creates **economic wealth**,
- The **public sector** ensures **social welfare**,
- The **third sector** promotes **humanitarian and ethical progress**.
- Together, they form a balanced economy — profit, public service, and purpose working side by side.
- **<u>CASE STUDIES:</u>**
- **Case Study 1: Tata Group – Private Sector**
- **Background:**
  Tata Group is one of India's largest private conglomerates, with businesses in steel, automobiles, IT, hospitality, and more.
- **Sector:** Private
- **Objectives:**

# Sectors of economy (private, public, third)

- Generate profit and shareholder value.
- Expand globally and innovate across industries.
- Contribute to sustainable development through CSR initiatives.
- **Activities and Impact:**
- Produces goods (Tata Steel, Tata Motors) and services (Tata Consultancy Services).
- Employs hundreds of thousands of people worldwide.
- Drives innovation in electric vehicles, green steel production, and digital solutions.
- Pays taxes and contributes to India’s economy.
- **Key Takeaway:**
  Tata Group demonstrates how the **private sector** focuses on profit while indirectly benefiting society through employment, innovation, and economic growth.

# Sectors of economy (private, public, third)

- **Case Study 2: NHS Scotland – Public Sector**
- **Background:**
  The National Health Service (NHS) in Scotland provides healthcare services to all residents, funded by the government.
- **Sector:** Public
- **Objectives:**
- Ensure universal access to healthcare.
- Maintain public health and prevent disease.
- Operate efficiently using taxpayer funds.
- **Activities and Impact:**
- Runs hospitals, clinics, and emergency services across Scotland.
- Employs doctors, nurses, and administrative staff.

# Sectors of economy (private, public, third)

- Manages public health initiatives such as vaccination campaigns and disease prevention programs.
- Reduces health inequalities by providing free healthcare.
- **Key Takeaway:**
  NHS Scotland shows how the **public sector** prioritizes social welfare over profit, providing essential services that support society's well-being.
- **Case Study 3: Oxfam – Third Sector**
- **Background:**
  Oxfam is a global non-profit organization dedicated to reducing poverty and inequality.
- **Sector:** Third
- **Objectives:**
- Provide humanitarian aid during disasters.
- Promote social justice, education, and fair trade.

# Sectors of economy (private, public, third)

- Empower communities to become self-sufficient.
- **Activities and Impact:**
- Raises funds through donations, grants, and charity shops.
- Delivers food, clean water, and educational programs in vulnerable regions.
- Advocates for fair policies, women’s empowerment, and sustainable development.
- Operates worldwide with volunteer and staff support.
- **Key Takeaway:**
  Oxfam exemplifies the **third sector**, focusing on social and humanitarian value rather than financial profit, filling gaps not addressed by private or public sectors.
- Summary Table

# Sectors of economy (private, public, third)

| Sector | Organization | Objective | Activities | Impact |
|---|---|---|---|---|
| **Private** | Tata Group | Profit, growth, innovation | Manufacturing, IT services, hospitality | Economic growth, jobs, innovation |
| **Public** | NHS Scotland | Public welfare | Healthcare services, public health programs | Health access, reduced inequality |
| **Third** | Oxfam | Social good | Aid, education, advocacy | Poverty reduction, empowerment, social welfare |

- These three cases clearly show how the **three sectors of the economy** operate differently but together form a balanced system:
- Private sector drives **profit and economic growth**
- Public sector ensures **essential services and social welfare**
- Third sector promotes **humanitarian and social development**

# Conclusion to Business and its Role in Society

- **Understanding the Conclusion**
- When we look at business from a societal perspective, its role is **much bigger than just making money**. The conclusion emphasizes that businesses are **essential for the functioning and growth of society**.
- **Businesses add value:**
  They transform raw materials, ideas, or skills into goods and services that are more useful or desirable. For example, Tata Motors turns steel and technology into cars that meet transportation needs.
- **Businesses satisfy needs:**
  They provide products and services that society requires, ranging from basic necessities like food, clothing, and healthcare, to services like education, banking, and entertainment. NHS Scotland, for instance, ensures citizens have access to healthcare, while Oxfam meets humanitarian needs.
- **Businesses create wealth:**
  Wealth here isn’t only financial profit. It includes:

# Conclusion to Business and its Role in Society

- **Economic wealth** – jobs, wages, profits (e.g., Tata Group)
- **Social wealth** – welfare, education, and healthcare access (e.g., NHS Scotland)
- **Ethical or humanitarian wealth** – improved living standards, empowerment (e.g., Oxfam)
- **Interdependence with society:**
  Businesses and society rely on each other:
- Society provides labor, resources, and customers.
- Businesses provide goods, services, and employment.
  When businesses operate responsibly, society benefits; when society thrives, businesses grow.
- **Key Takeaway**
- The conclusion highlights that **business is a social institution**. Its ultimate role is to **enhance human well-being, drive progress, and create sustainable value** — economically, socially, and ethically.
- In short: **A responsible business doesn't just earn profit; it strengthens society, and a strong society supports business success.**

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# Thank You

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